EXHIBIT "B"

FULL BALLOT TEXT

Measure ___
[Letter designation to be assigned by Registrar of Voters]

By approval of this measure by at least fifty-five percent (55%) of the registered voters voting thereon, the Carmel Unified School District shall be authorized to issue and sell bonds of up to $250,000,000 in aggregate principal amount to provide financing for the specific school facilities projects listed below in the Bond Project List, subject to all of the accountability safeguards specified herein.

SECTION I: KEY FINDINGS

- Carmel Unified School District ("District") has provided a high-quality education to students in the communities of Carmel-by-the-Sea, Carmel, Carmel Highlands, Carmel Valley, Cachagua, Big Sur, and Pebble Beach over its long history.

- While the District strives to meet the needs of our community and students, since some District schools were built in the 1940's and 1950's with the oldest being built in 1939 and now need basic improvements including upgrading deteriorating roofs; failing heating and ventilation systems, plumbing, sewer, and gas lines and electrical systems.

- Many portable classrooms are now past their intended lifespan and are falling apart due to structural damage, water leaks, mold, and dry rot. They are too expensive to keep repairing and need to be replaced with permanent classrooms.

- The District has conducted and completed comprehensive outreach to our community, and, in 2019, a comprehensive, transparent, long-term community Facilities Master Plan was completed that identified the needs at each school site to meet modern safety and security standards, meet the District's goals for supporting current academic standards, and address specific priorities at individual school sites.

- Bonds are the primary means by which all school districts are able to keep their school buildings and classrooms in good, safe repair, equipped to support changing educational standards, methods and approaches.

- The District cannot rely on the State of California (the "State") to fund school facility improvements and the limited State dollars available for facility upgrades often require local matching funds that could be provided by a local bond measure.

- This bond measure will benefit local schools only and no funds can be taken away by the State or other school districts, and by law, no money can be used for administrator salaries or pensions.

- This bond measure requires strict fiscal accountability protections including mandatory annual audits and an independent citizens' oversight committee comprised of local residents to ensure funds are managed and spent properly.

SECTION II: ACCOUNTABILITY MEASURES

The provisions in this section are included in this proposition in order that the voters and taxpayers of the District may be assured that their money will be spent to address specific facilities needs of the District, all in compliance with the requirements of Article XIII A, section 1(b)(3) of the State Constitution, and the Strict Accountability in Local School Construction Bonds Act of 2000 (codified at Section 15264 *et seq.* of the California Education Code).

Evaluation of Needs. The Board of Education of the Carmel Unified School District (the "Board of Education" or "Board") has evaluated the facilities needs of the District and has identified projects to finance from a local bond measure at this time. The Board of Education has certified that it has evaluated safety, class size reduction and information technology needs in developing the Bond Project List.

Independent Citizens' Oversight Committee. The Board of Education shall appoint a new or empower an existing independent Citizens' Oversight Committee in accordance with Education Code sections 15278-15282 and applicable Board policy, to ensure bond proceeds are expended only for the school facilities projects listed in the Bond Project List. The committee shall be established within sixty (60) days of the date when the Board of Education enters the results of the election in its official minutes.

Annual Performance Audit. The Board of Education shall conduct or cause to be conducted an annual, independent performance audit to ensure that the bond proceeds have been expended only on the school facilities projects described in the Bond Project List.

Annual Financial Audit. The Board of Education shall conduct or cause to be conducted an annual, independent financial audit of the bond proceeds until all of those proceeds have been spent.

Annual Report to Board. Upon approval of this measure and the sale of any bonds approved, the Board of Education shall take actions necessary to establish an account in which proceeds of the sale of bonds will be deposited. As long as any proceeds of the bonds remain unexpended, the Superintendent shall cause a report to be filed with the Board of Education no later than January 1 of each year, commencing on the first January 1 after bonds have been issued and proceeds spent, stating (1) the amount of bond proceeds received and expended in the past fiscal year, and (2) the status of any project funded or to be funded from bond proceeds. The report may be incorporated into the annual budget, annual financial report, or other appropriate routine report to the Board.

SECTION III: BOND PROJECT LIST

This Bond Project List, which is an integral part of this measure, describes the specific projects the District proposes to finance with proceeds of the bonds. All information contained within this "Section III: Bond Project List" comprises the list and description of permissible projects and expenses that may be paid from bond proceeds.

In order to meet all identified facility needs, the District intends to complete projects using a combination of funding sources, including joint use funds or contributions, development impact fees, and State funding (if available). The District will pursue State matching funds if and when they become available, and if received, they will be used for projects on the Bond Project List or other high priority capital outlay expenditures as permitted by law. Approval of this measure does not guarantee that all projects on this Bond Project List at all listed sites will be funded beyond the local revenues generated by this measure. The District's proposal for the projects assumes the receipt of some state matching funds,

which could be subject to appropriation by the Legislature or approval of a statewide bond measure. Bond funds may be used to meet any matching share contribution requirements.

Proceeds from the sale of bonds authorized by this measure shall be used only for the construction, reconstruction, rehabilitation, replacement, furnishing and equipping of school facilities, and the acquisition or lease of real property for school facilities, all as listed on the Bond Project List. All projects to be financed with bonds authorized by this measure listed on the Bond Project List have been determined by the District to be "school facilities" as that term is used in the California Constitution. "School facilities" include projects at school sites as well as administrative and teacher/staff support facilities which are necessary for, and related to, the delivery of high-quality education services. Projects listed below may be completed at any and all properties, school sites and facilities where such project is determined necessary, and projects are authorized to be performed at each and all of the District's schools, sites and facilities, including administrative and ancillary support facilities, whether owned, leased or yet to be acquired, including, without limitation, the following:

CARMEL USD SCHOOLS

- *Apple Pie Preschool*
- *Cachagua Children's Center*
- *Captain Cooper Elementary School*
- *Carmel Middle School*
- *Carmel River School*
- *Carmel High School*
- *Carmel Valley High School*
- *Carmelo Child Development Center*
- *Tularcitos Elementary School*

Specific projects to be funded by the bond measure include, without limitation, the following:

Safety, Security and Accessibility

- Acquire, install and/or upgrade campus safety and security systems, including intercom and emergency communications systems, video surveillance, lighting systems, clock and bell systems, fire and life safety systems, install fencing and gates
- Improve access for students with disabilities
- Improve pedestrian access, reconfigure entrances and drop-off/pickup locations, point of entry access and upgrade door locks and window coverings
- Repair, replace and/or upgrade paved surfaces, including parking lots, playgrounds, and walkways
- Renovate, re-locate and modernize school facilities to enhance campus security

Learning Environments

- Build, construct and install classrooms, school facilities and instructional and operative support facilities, including flooring, windows, window coverings, doors, lighting, interior and exterior finishes, and paint
- Renovate, repair, replace, construct and/or install playgrounds, play surfaces and related improvements and equipment
- Renovate, repair, replace, construct and/or install sports fields, gymnasiums, courts, athletic facilities, grandstands, pools, locker rooms and related equipment

- Construct, develop, install and improve outdoor areas including outdoor learning and meeting areas, hardscaping, landscaping and the planting of trees, irrigation improvements, and building/installing shade structures

- Acquire real property for future school facilities

Utilities and Infrastructure

- Replace, repair, modernize leaking pipes, outdated plumbing, sewer and gas lines, waterlines, storm drains and valves, and electrical systems

- Improve energy efficiency and sustainability including installation of energy-efficient lighting and systems, solar panels, battery storage, retrofitting and replacing natural gas infrastructure with comparable electric infrastructure

- Upgrade, install, and expand District-wide internet, wi-fi, network connections and infrastructure, and other equipment conducive to a modern learning environment

- Weather proofing to prevent mold and dry rot

Interior & Building Systems

- Replace portable classroom buildings with permanent classrooms

- Renovate, repair and construct restrooms, including for T-K and kinder classrooms

- Repair and Replace outdated and inefficient heating, cooling and ventilation systems (HVAC)

- Replace or repair leaky and structurally unsound roofs and roofing systems including fascia boards

Student Support

- Construct, modernize, and equip school cafeterias, kitchens, eating and serving areas

- Construct, renovate and install student support and health facilities

Listed projects, repairs, improvements, rehabilitation projects and upgrades will be completed only as needed, and the listing of projects does not imply a particular prioritization among such improvements. Projects may be done in phases, based on Board of Education priorities and available funding. Listed projects may be completed at any and all District schools, sites, properties (owned, leased or yet to be acquired) and education buildings where such project is determined necessary. Bond projects are anticipated to provide benefit to all users of school facilities, sites and buildings, including charter schools that occupy school campuses, community members and other organizations.

Decisions regarding the scope, function, timing, location, prioritization or other facets of project implementation for school facility projects listed on the Bond Project List will be made solely by the Board of Education by subsequent action, including the interpretation, meaning and intent of each listed project. Where terms such as "renovate," "upgrade," "replace," "improve" and "repair" are used in the Bond Project List, the Board of Education has the discretion to determine the best method for accomplishing the project's objective, including the use of new construction. For any listed project involving renovation or modernization of a building or the major portion of a building, the District may proceed with new replacement construction instead (including any necessary demolition), if the District

determines that replacement and new construction is more practical than renovation, considering the building's age, condition, expected remaining life, comparative cost and other relevant factors. In addition, where feasible, projects may be completed in partnership with other public or private agencies on a joint use basis using bond proceeds, subject to federal tax rules and regulations.

Each project is assumed to include its share of costs of bond issuance, architectural, engineering, legal and similar planning costs; litigation costs; construction management; bond project consultants; staff development and training expenses associated with learning construction techniques and approaches and new bond-funded equipment and systems; the furnishing and equipping of all projects, including equipment to maintain facilities in a safe and clean condition; and a customary contingency for unforeseen design and construction costs. Payment of the costs of preparation of facilities planning and project implementation studies, feasibility and assessment reviews, master planning, environmental studies, permit and inspection fees, Division of State Architect (DSA) - related requirements, studies and assessments, including ADA and seismic, and temporary housing and relocation costs for dislocated programs or activities caused or necessitated by projects on the Bond Project List are permissible bond expenditures. Land may be acquired for any project, and all projects may be furnished and equipped using bond proceeds to ensure the functionality and usability of facilities and sites constructed or reconstructed with bond proceeds. Bond proceeds may be used to retire any interim funding incurred to advance fund projects described on the Bond Project List.

The final cost of each project will be determined as plans are finalized and projects are completed. Based on the final costs of each project, certain of the projects described above may be delayed or may not be completed. Necessary site preparation, grading or restoration may occur in connection with acquisition of property, new construction, modernization, renovation or remodeling, or installation or removal of modular classrooms, including ingress and egress, removing, replacing or installing irrigation, utility lines, trees and landscaping, relocating fire access roads and acquiring any necessary easements, leases, licenses or rights of way to the property.

SECTION IV: ADDITIONAL SPECIFICATIONS

Allowable Expenses. Proceeds from the sale of Bonds authorized by this proposition shall be used only for the construction, reconstruction, rehabilitation or replacement of school facilities on the Bond Project List, including the furnishing and equipping of said school facilities, or the acquisition or lease of real property for said school facilities, and not for any other purpose.

No Operating Expenses. Bond proceeds cannot be used for teacher or administrator salaries and other school operating expenses in accordance with applicable law.

Single Purpose. All of the purposes enumerated in this proposition shall be united and voted upon as one single proposition, pursuant to Section 15100 of the California Education Code, and all the enumerated purposes shall constitute the specific single purpose of the bonds and proceeds of the bonds shall be spent only for such purpose.

Other Terms of the Bonds. The bonds may be issued and sold in several series, and in accordance with a financing plan determined by the Board of Education pursuant to requirements of law. When sold, the bonds shall bear interest at an annual rate not exceeding the statutory maximum and with a maximum term not exceeding the statutory maximum, provided that the average useful life of bonds sold will not exceed one hundred twenty percent (120%) of the average life of the projects being financed or as otherwise provided by federal

tax law. Bond funds may be used to reimburse the District for Bond Project list expenditures incurred prior to the election and bond issuance, in accordance with federal tax law.

Attention of all voters is directed to the fact that the financial information contained in this measure is based upon the District's projections and estimates only, which are not binding upon the District, nor are the summary or average payment estimates, if any, provided in the Ballot Label. The actual tax rates, debt service and the years in which they will apply may vary from those presently estimated, due to variations from these estimates in the timing of bond sales, the amount of bonds sold and market interest rates at the time of each sale, and actual assessed valuations over the term of repayment of the bonds. The dates of sale and the amount of bonds sold at any given time will be determined by the District based on need for construction funds and other factors. The actual interest rates at which the bonds will be sold will depend on the bond market at the time of each sale. Actual future assessed valuation will depend upon the amount and value of taxable property within the District as determined by the County Assessor in the annual assessment and the equalization process.

In preparing this information, the District obtained reasonable and informed projections of assessed property valuations that took into consideration projections of assessed property valuations made by the County Assessor, if any, in accordance with Education Code Section 15100(c).